



Module 5

International Trade

Topics:

Advantages and disadvantages of international trade - Absolute and Comparative advantage theory - Heckscher - Ohlin theory - Balance of payments – Components – Balance of Payments 4 deficit and devaluation – Trade policy – Free trade versus protection – Tariff and non-tariff barriers.

International Trade or foreign trade - Meaning:

International Trade or foreign trade means trade between countries. In other words, it is the exchange of goods or services between two or more countries. The branch of economics which deal with foreign trade is International Economics.

“Foreign trade implies the buying and selling of goods and services among different countries across the world”. It may consist of export of goods and imports of goods from abroad. Foreign trade is also known as International Trade.

Advantages of International Trade

i) Optimal use of natural resources:

- **International trade helps each country to make optimum use of its natural resources. Each country can concentrate on production of those goods for which its resources are best suited. Wastage of resources is avoided.**

ii) Availability of all types of goods:

- **It enables a country to obtain goods which it cannot produce or which it is not producing due to higher costs, by importing from other countries at lower costs.**

iii) Specialization:

- **Foreign trade leads to specialization and encourages production of different goods in different countries. Goods can be produced at a comparatively low cost due to advantages of division of labour.**

iv) Advantages of large-scale production:

Due to international trade, goods are produced not only for home consumption but for export to other countries also. Nations of the world can dispose of goods which they have in surplus in the international markets. This leads to production at large scale and the advantages of large scale production can be obtained by all the countries of the world.

v) Stability in prices:

- **International trade irons out wild fluctuations in prices. It equalizes the prices of goods throughout the world (ignoring cost of transportation, etc.)**

vi) Exchange of technical know-how and establishment of new industries:

- **Underdeveloped countries can establish and develop new industries with the machinery, equipment and technical know-how imported from developed countries. This helps in the development of these countries and the economy of the world at large.**

vii) Increase in efficiency:

- **Due to international competition, the producers in a country attempt to produce better quality goods and at the minimum possible cost. This increases the efficiency and Productivity.**

viii) Development of the means of transport and communication:



International trade requires the best means of transport and communication. For this, countries develop better transport and communication facilities.

ix) International co-operation and understanding:

- The people of different countries come in contact with each other. Commercial integration amongst nations of the world encourages exchange of ideas and culture. It creates co-operation, understanding, cordial relations amongst various nations.

x) Better employment opportunities:

Foreign trade creates jobs and provides better employment opportunities for the people both in and outside the country.

xi) Ability to face natural calamities:

- Natural calamities such as drought, floods, famine, earthquake etc., affect the production of a country adversely. Deficiency in the supply of goods at the time of such natural calamities can be met by imports from other countries.

xi) Other advantages:

- International trade helps in many other ways such as benefits to consumers, international peace and better standard of living.

Disadvantage of foreign trade are the following;

1. The threat to infant industries at home:
2. Economic exploitation:
3. Endangers independence
4. Misuse of natural resources
5. Import of harmful goods
6. Evil effects of Dumping:
7. World wars
8. Trade and tariff agreements

1. **The threat to infant industries at home:**

International trade has an adverse effect on the development of home industries. It poses a threat to the survival of infant industries at home. Due to foreign competition and unrestricted imports, the upcoming industries in the country may collapse.

Due to the import of goods from abroad, the infant industries of a country are not able to grow and survive.

2. **Economic exploitation:**

The underdeveloped countries depend upon the developed countries for the import of machinery,

technology etc. Such reliance often leads to economic exploitation. The developed nations exploit the weaker nations and charge very high prices from them.

3. **Endangers independence**

Foreign trade encourages slavery. It impairs economic independence which endangers political dependence of the poor nations.. For example, the Britishers came to India as traders and ultimately ruled over India for a very long time.

4. **Misuse of natural resources**

If there is an excessive export of natural resources like iron, coal etc. of a country, it will be exhausted in a

shorter span of time. The country then suffers economically in the long run.



5. Import of harmful goods

The import of harmful goods like spurious drugs, luxury articles adversely affect health, well-being of the people and economy of the country.

6. Evil effects of Dumping:

Certain countries use international trade to dump their goods on other countries. It creates shortage of goods in the domestic market.

7. World wars

Foreign trade creates rivalry among the competing nations of the world.

It leads to ill-will, hatred and eventually to wars among them. This disturbs world peace.

8. Trade and tariff agreements

The developed countries motivate the developing nations to give tariff concessions and reduce restrictions on imports and adopt free trade. If the developing countries are agree to join such agreements, they economically suffer in the long run.

Free trade

- ✓ Free trade is a trade policy that does not restrict imports or exports.
- ✓ Under Free trade (open trade) governments impose no barriers to international trade. Absolutely no tariffs, taxes, or duties on imports, or exports.
- ✓ In this sense, free trade is the opposite of protectionism.

Arguments for Free Trade-

1. Better utilization of resources
2. Division of labour and specialization
3. Efficiency
4. Dampen monopoly practices
5. Wide variety of goods
6. Avoid corruption and red-tapism
7. Economic growth.

Arguments against Free Trade-

1. Threat to domestic Industries
2. Harmful commodities
3. The Unfair Competition argument
4. Job outsourcing leads to unemployment
5. Degradation of Environment
6. Poor Working conditions

Protection Trade

Trade protectionism, is the economic policy of restricting imports from other countries through methods such as tariffs on imported goods, import quotas, and a variety of other government regulations.

Protectionism involves any attempt by a country to impose restrictions on the open trade between the countries.

Arguments for Protection Trade-

1. Infant Industry Argument
2. Strategic and key industry Argument
3. National Defense
4. Diversification



5. Terms of trade Argument
6. Improving Balance of payments (BOPs)
7. Anti-Dumping
8. Employment Argument
9. Keeping money at home
10. Equalization of costs of production
11. Size of the home market

Arguments against Protection Trade-

The main arguments against protectionism are outlined below:

1. Market Distortion and loss of Economic Efficiency.
2. Higher Prices for Consumers.
3. Reduction in Market Access for Producers.
4. Extra Costs for Exporters.
5. Adverse Effects on Poverty.
6. Retaliation & Trade Wars.

1. Market Distortion and loss of Economic Efficiency

- Protectionism can be an ineffective and costly means of sustaining jobs and supporting domestic economic growth.

2. Higher Prices for Consumers

- Import tariffs in particular push up prices for consumers and insulate inefficient domestic sectors from genuine competition. They penalize foreign producers and encourage an inefficient allocation of resources both domestically and globally.

3. Reduction in Market Access for Producers

- Export subsidies depress world prices and damage output, profits, investment and jobs in many lower and middle-income developing countries that rely heavily on exporting primary and manufactured goods for their growth.

4. Extra Costs for Exporters

- For goods that are produced globally, high tariffs and other barriers on imports act as a tax on exports, damaging economies, and jobs, rather than protecting them. For example, a tariff on imported steel can lead to higher costs and lower profits for car manufacturers and the construction industry.

5. Adverse Effects on Poverty

- Higher prices from tariffs tend to hit those on lower incomes hardest, because the tariffs (e.g. on foodstuffs, tobacco, and clothing) fall on products that lower income families spend a higher share of their income. Tariffs can therefore lead to a rise in relative poverty.

6. Retaliation & Trade Wars

- There is the danger that one country imposing import controls will lead to retaliatory action by another.

Tariff and non-tariff barriers.

Trade barriers refer to the government policies and measures which restrict the free flow of goods between the countries.

Trade barriers are classified in to two ways;

- ✓ Tariff barriers and
- ✓ Non-tariff barriers.

Tariff barriers:

Tariff barriers are duties or taxes imposed by the government on its imports or exports.

Classification:

- I. On the basis of origin and destination of goods, tariffs can be classified in to three;



- a) Export duty, b) Import duty, c) Transit duty

Transit duty imposed on goods crossing the border of a country.

II. Based on the quantification, tariffs can be classified in to three;

- a) **Specific Duty**: is a fixed amount of duty imposed on each unit of the commodity imported or exported.
- b) **Ad-valorem duty**: is a fixed % of the value of the commodity imported or exported.
- c) **Compound duty**: When specific and ad-valorem duties are imposed on a commodity, it is known as Compound duty.

III. Based on the application of tariffs between different countries, tariffs can be classified in to three;

- a) **Single column Tariff**: In this a uniform tariff is imposed on similar product irrespective of the country from which they are imported.
- b) **Double column Tariff**: In these two rates are imposed
- c) **Triple column Tariff**: In these three rates of tariff are imposed- General, intermediate, and preferential.

IV. Based on the Purpose, tariffs can be classified in to three;

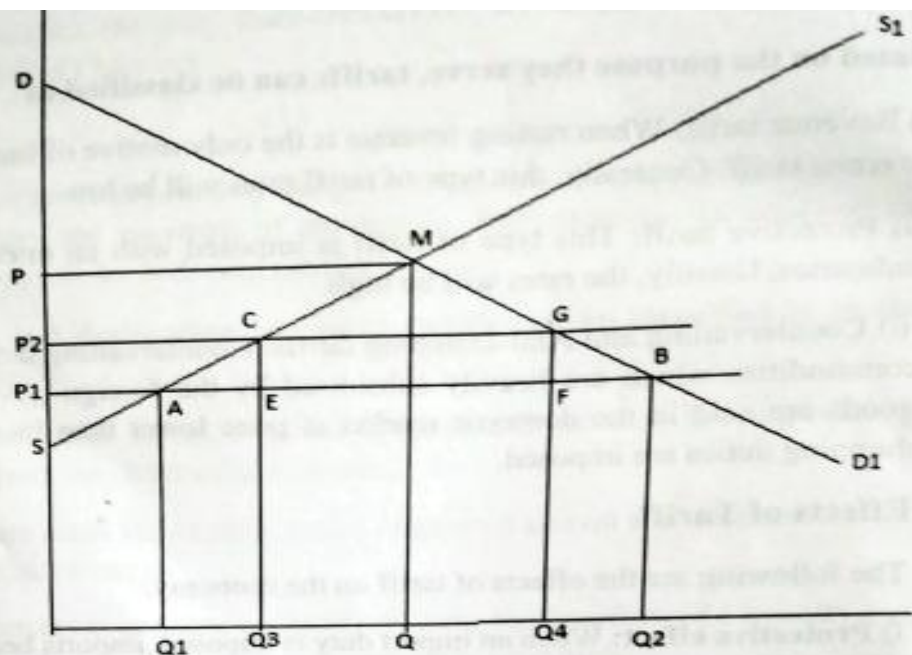
- a) **Revenue Tariff**: Raising revenue is the only motive.
- b) **Protective Tariff**: Its intention is to protect domestic industries.
- c) **Countervailing Tariff and Anti- Dumping Tariff**:
Countervailing Tariffs are imposed on those commodities which are heavily subsidised by the foreign governments. **Anti- Dumping Tariff** are imposed, when foreign goods are sold in the domestic at price lower than the cost of production.

Effects of Tariff

- 1. Protective effect
- 2. Revenue effect
- 3. Income effect
- 4. Balance of payment effect
- 5. Consumption effect
- 6. Competitive effect
- 7. Re- distribution effect

Effects of Tariff can be explained with the help of diagram.

In the diagram, in the absence of foreign trade domestic demand curve DD_1 and supply curve SS_1 intersect at point M . The equilibrium price is P and the quantity demanded and supplied is Q . Suppose, foreign supply is perfectly elastic at price P_1 . Then under free trade, supply in the economy can be represented by the straight line P_1B .



Under free trade, the total consumption will be Q_2 and out of this Q_1 will be supplied by domestic producers and the quantity Q_1Q_2 will be imported.

Suppose the government imposes a tariff equal to P_1P_2 . This increases the price from P_1 to P_2 . At P_2 price domestic demand falls to Q_4 . Because of the rise in price domestic supply increases from Q_1 to Q_3 . The remaining part of the domestic demand Q_3Q_4 will be met by import.

Under free trade total consumers surplus is DP_1B , but under protection it decreases to DP_2G . The total loss in consumer's surplus is P_1P_2GB . Tariff per unit = P_1P_2 , Total import = Q_3Q_4 , hence;

- ✓ Government will get a total revenue = $CEFG$ from import duty. It is the Revenue effect
- ✓ Producer's get additional income equal to P_1P_2CA . This is transfer of income from consumers to producers. Hence it is the Redistribution effect.
- ✓ Domestic supply increases from Q_1 to Q_3 . ACE is the additional cost per unit of output. It is the Protection effect
- ✓ Consumption decreases from Q_2 to Q_4 . Hence loss in consumer's surplus = GFB . It is the Consumption effect.
- ✓ Actual loss to the economy because of tariff is the sum of Protective effect and Consumption effect. That is, $ACE + GFB$.

The revenue effect ($CEFG$) and Re-distributive effects (P_1P_2CA) are only a transfer of income from one group to another group.

Non trade barriers (NTBs)

There are different types of NTBs.

1. Voluntary Export Restraints:
2. Administered Protection: It consists government actions. Important measures under administered protection include;
 - a) Safeguards – Temporary import restriction to protect domestic industries
 - b) Health and product standards- fixed by developed countries.



- c) Custom's procedures- is a trade barrier
- d) Licensing- restrict trade, especially import.
- e) Monetary controls- increase interest rate
- f) Environmental protection laws
- g) Foreign Exchange Restrictions.

3. Quantitative Restrictions or Quotas

Quantitative Restrictions or Quotas:

A quota represents ceiling / limit on the volume of exports / imports.

Types of imports Quotas:

1.The tariff or custom Quota:

This combines the features of tariff and Quota. Import of a commodity up to a specified quantity to be imported at a special low-rate duty or duty free. Beyond this limit, a high-rate duty is charged.

2.The Unilateral Quota:

Under this, a country places an absolute limit on the imports of a commodity without prior negotiation with foreign governments.

3.The Bilateral Quota:

Under this, Quota are set through negotiation between the importing and exporting countries.

4.The Mixing Quota:

It sets limit on the proportion of foreign made raw materials to be imported and used in domestic production.

5.Import Licencing:

Under this, prospective importers are required to obtain a licence from the proper authority for importing any quantity.

Effects of Quotas:

The important effects of quotas are the following;

1. Price Effect:

As quotas restrict imports and thereby domestic supply, it increases price in the domestic economy.

2. Consumption effect:

As quotas raises the price, it reduces consumption.

3. BOP effect:

As quotas restrict imports, BOPs position will be improved.

4. Protective effect:

Quotas restrict imports and protect domestic industries from foreign competition.

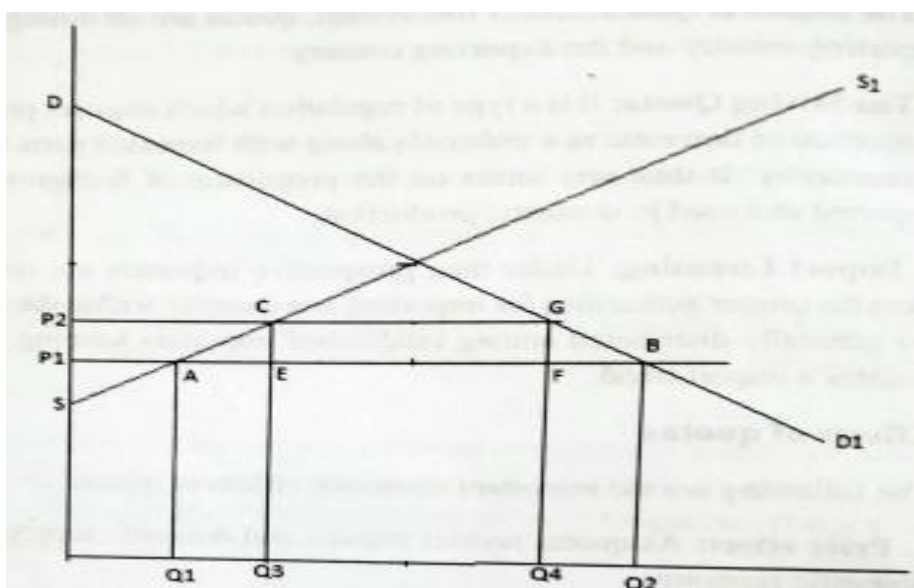
5. Revenue effect:

When quotas are administered by means of licence, government can get some revenue in the form of licence fee.

6. Re-distribution effect:

When price increases because of quota restrictions, there will be some re-distribution of income in favour of producers.

The effects of quotas can be explained with the help of a diagram.



In the above diagram, DD_1 and SS_1 are domestic demand and supply curves. Foreign supply price is P_1 . At P_1 price, domestic demand is Q_2 out of which Q_1 quantity will be supplied by domestic producers. So Q_1 Q_2 quantity will be imported. Suppose government fixes the import quota as Q_3 Q_4 . It creates shortage in supply and raises the price to P_2 . At high price P_2 domestic supply increases to Q_3 , but domestic demand falls to Q_4 .

Here, because of quota,

- ✓ Producer's get additional income equal to P_1P_2CA . This is the Redistribution effect.
- ✓ Protective effect = ACE . (It is the sum of additional cost per unit of output because of the increase in production).
- ✓ Consumption effect = GPB . (It is the loss in consumer's surplus due to quota restriction).

Tariff Vs Quota

1. Quota is more effective
2. Quota is more precise and certain in action.
3. Quotas can be more easily imposed and removed.
4. Quotas can be used to prevent transmission of recession from foreign countries to home country.

Theories of International Trade:

I. Absolute (cost) Advantage theory:

- This theory advocated by Adam Smith as the basis of international trade in 1776.
- In economics, absolute advantage refers to the ability of a country to produce a larger quantity of a product at low cost than its competitors.
- Every country should specialise in the production of that commodity which it can produce more cheaply than others and export or exchange it for the commodities which cost less in other countries.

Assumptions:

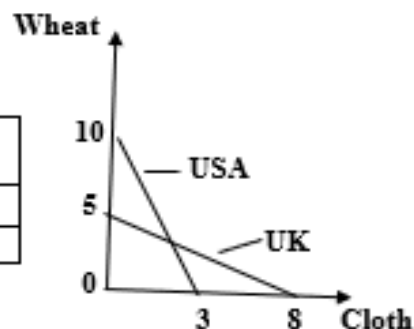
- ✓ It is two- country, two commodity model.



- ✓ Labour is the only element of cost of production
- ✓ Labour is homogeneous
- ✓ No barriers in international trade
- ✓ Perfect competition and full employment

Here the countries will produce and export that commodity upon which they are specialised and they have an absolute advantage. This theory can be explained with the help of an example.

Country	Wheat (per unit of labour)	Cloth (per unit of labour)
USA	10	3
UK	5	8



In the above example USA has an absolute advantage in the production of wheat over UK, because it is able to produce 10 units of wheat with one unit of labour. But UK can produce only 5 units. Similarly, UK has an absolute advantage in the production of cloth.

Hence, USA will produce and export wheat to UK, and UK will produce and export cloth to USA. Both the countries will gain from international trade.

Merits: This kind of production leads to specialisation and division of labour.

Size of the market increases substantially.

Demerits: This theory explain only one aspect of trade. It is too narrow in its scope.

Comparative Cost Advantage Theory:

- This theory was developed by David Ricardo in 1857 as the basis of international trade.at a lower opportunity cost than another.
- According to Ricardo even in the case of no absolute advantage for both the commodity, a country can gain from international trade on the basis of comparative advantage.
- Comparative advantage refers to the ability of a country to produce a particular product at a lower opportunity cost than another.
- This theory states that a country should specialise in the production and export of the commodity in which its opportunity cost (comparative disadvantage) is smaller and import the commodity in which its opportunity cost (comparative disadvantage) is greater.

Assumptions:

- Only two-countries and two commodities.
- Labour is the only element of cost of production
- Labour is homogeneous
- No barriers in international trade
- Perfect competition and full employment
- No transport cost
- Goods are exchanged according to the relative amount of labour embodied in them.

This model can be explained with an example.

Country	No: of units of labour for per unit	No: of units of labour for per unit	Exchange Ratio
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	of cloth	of Wine	
England	100	120	1 Wine = 1.2 cloth
Portugal	90	80	1 Wine = 0.88 cloth

The above example shows that Portugal has an absolute advantage in the production of both the commodities.

However, a comparison of the ratio of cost of production of wine and cloth in these two countries reveals that Portugal has a higher advantage in the production of wine. Hence it will specialise and produce wine and export to England. At the same time, England has a higher advantage in the production of cloth. Hence it will specialise and produce cloth and export to Portugal.

Here the England can import wine from Portugal and Portugal can import cloth from England. Both the countries gain from trade.

Criticisms:

1. Labour is not the only element of cost
2. Exchange ratio is not always fixed according to cost ratios
3. The assumptions of perfect competition and full employment are not valid
4. Free trade is highly unrealistic.

The Heckscher – Ohlin Theorem or Factor Endowment Theory:

This theory was originally developed by Eli-Heckscher in 1919. Later in 1935 it was refined by his student Bertil Ohlin. Hence the theory is popularly known as Heckscher – Ohlin theorem.

Assumptions:

- Only two-countries and two commodities.
- Perfect competition and full employment
- Factors of production are homogeneous
- Perfect competition and full employment
- Free trade between countries
- No transport cost
- Technology remains the same in both countries.

Comparative cost theory fails to explain the reason for comparative cost differences.

H-O theorem tried to explain the causes of comparative cost differences.

According to H-O theorem, the differences in comparative advantage (among nations) is mainly due to the differences in relative factor abundance or factor endowments.

H-O theorem can be stated as follows; A country will produce and export that commodity whose production requires the intensive use of the nation's abundant and cheap factor and import the commodity whose production requires the intense use of relatively scarce and expensive factor.

In other words, relatively labour abundant country will export the relatively labour-intensive commodity and import the relatively capital-intensive commodity.

In H-O theorem factors abundance is measured in relative terms and not in absolute terms. For example; a country will be considered as capital abundant only if the ratio of capital to another factor is higher.

Country A: Supply of Labour = 50



Supply of Capital = 40

Capital Labour ratio=0.8

Labour Capital ratio=1.25

Country B: Supply of Labour = 16

Supply of Capital = 20

Capital Labour ratio =1.25

Labour Capital ratio = 0.8

In our example, Country A has more capital and labour in absolute terms.

But according to H-O theory, Capital Labour ratio is high in Country B, and Labour Capital ratio is high in Country A. So, Country B is relatively capital abundant country and will produce and export capital intensive goods. Country A is relatively labour abundant country and will produce and export labour intensive goods.

Factor Price Equalisation Theorem – is a corollary of H-O theorem. It was developed by Paul Samuelson. Hence it is called H-O- Samuelson theorem.

This theory states that free trade will equalise not only commodity prices but also factor prices between the countries. Hence all factors (Labour and Capital) earn same price (same wage and rent) in both countries.

Merits of H-O Theorem:

1. H-O theory provides a more comprehensive and satisfactory explanation for foreign trade.
2. It explains the reason for comparative cost differences between countries.
3. It highlights the role of relative prices of factors in trade flow.
4. It highlights the impact of trade on product and factor prices.

Balance of Payment (BOP)

BOP is a systematic record of all economic transactions of a nation with the rest of the world for a specific period of time.

Difference between Balance of Trade (BOT) and Balance of Payment (BOP)

Balance of Trade includes only visible items in the export and import. It does not include invisible items such as various kinds of services including banking, insurance, payments of interest, and dividend etc.

On the other hand, Balance of Payment includes both visible and invisible items. Therefore, BOP gives a real picture of a country's external balance.

Components of BOP:

BOP accounting follows Double Entry Book keeping system. That means each transaction will result in a credit entry and debit entry of equal size.

Components- BOP consists;

- I. Current Account: consists visible and invisible exports and imports.
- II. Capital Account: includes short-term and long-term capital transactions. The major items coming under capital Account are
 - a) Loans and borrowings (from private and public sectors)
 - b) Investments (in real estate, business ventures, Foreign Direct Investments etc.)
- III. Unilateral Payments Account: means the one-way transfer of an item from one person to another without any expectations of anything in return. (Gift, foreign Aid etc.) In a broader sense it is a part of Current Account.



IV. **Official Reserve Assets Account**: is a sub-division of capital Account. It is the foreign currency and securities held by the government, usually by its central bank.

Disequilibrium in Balance of Payment (BOP)

-Deficit in BOP

BOP is in disequilibrium when it shows surplus or deficit.

BOP is in deficit when import value greater than export value. It is surplus when exports greater than imports.

Factors responsible for a disequilibrium or a deficit in BOP are the following;

1.Economic Factors:

The important economic factors which lead to BOP disequilibrium are;

- a) **Developmental activities**: developing countries may import capital goods for their economic development. This increases their import bill and result in a deficit.
- b) **Cyclical Disequilibrium**: Cyclical fluctuation creates boom and depression. When there is boom, import may increase more than export and it create a deficit in BOP.
- c) **Secular Disequilibrium**: Higher aggregate demand and higher prices lead to larger imports and deficit in the balance of payments.

II. Political Factors: Political instability in a country may lead to large capital outflows and less investment in the domestic country. This may create a deficit in BOP.

III. Social Factors: Changes in tastes, fashion etc. may change consumption habits of the people and this may affect export and import as well as BOPs.

Correction of disequilibrium or Deficit:

The important measures to correct disequilibrium in BOPs are the following;

I. Automatic correction: The disequilibrium in BOP is corrected automatically by the forces of demand and supply of foreign exchange. For example, when there is deficit in BOP, there will be a fall in the external value of the domestic currency. This will increase the exports and correct the deficit.

II. Deliberate Measures: The three deliberate measures are;

- A) Monetary measures
- B) Trade measures
- C) Miscellaneous measures.

A. Monetary measures are;

✓ **Monetary Contraction or Expansion:**

It means contraction or expansion of money supply. When there is a deficit in BOP, a contraction of money supply will reduce the price level in the domestic market. It encourages exports and discourages imports. Thus, deficit will be corrected.

✓ **Exchange Control:**

Under exchange control, the government or the central bank will have the complete control over the foreign exchange earnings of the country. This helps the government to control imports.

✓ **Devaluation:**



It means a deliberate reduction in the value of domestic currency in terms of foreign currencies. Devaluation encourages exports and discourages imports because devaluation makes the domestic goods cheaper for the foreigners and foreign goods expensive for the people in the home country.

B. Trade measures: are

- Export promotion: by abolishing export duty, giving export subsidy etc.
- Import control: by increasing import duties, import licensing etc.

C. Miscellaneous measures: include encouragement of foreign investment, promotion of tourism etc.

Devaluation:

- ✓ It means a deliberate reduction in the value of domestic currency in terms of foreign currencies.
- ✓ Devaluation reduces foreign price of exports and raises the domestic price of imports.
- ✓ Devaluation encourages exports and discourages imports because devaluation makes the domestic goods cheaper for the foreigners and foreign goods expensive for the people in the home country.
- ✓ For example; Before devaluation, the exchange rate was \$1 = Rs. 4.76. Devaluation of the Indian Rupee was 36.5%. Then the exchange rate became \$1 = Rs. 7.5. After devaluation Indian goods cheaper in the foreign market and foreign goods expensive in the domestic market.

(Before devaluation, a foreign commodity which cost \$1 abroad cost Rs. 4.56 in India. But after devaluation the same commodity \$1 abroad cost Rs. 7.5 in India. Thus, after devaluation import became costlier in India.

Similarly, export became cheaper after devaluation. Before devaluation a commodity which cost \$1 abroad now cost only \$0.64 for the foreigners. This made Indian goods cheaper in the foreign market and encouraged export.)

Limitations of Devaluation:

1. The success of devaluation depends on reactions of other countries. If they will devalue their currencies, devaluation will not be successful.
2. If prices in the domestic country increases at the same rate or at a higher rate of devaluation, it will not increase exports or decrease imports.
3. The success of devaluation depends on the elasticity of demand for export and import. According to Marshall- Lerner condition, devaluation will be successful only if, the sum of elasticity of exports and imports is greater than one. That is;
If, $ex + em > 1$; Devaluation will improve BOP (Balance of Payment) position.
If, $ex + em < 1$; Devaluation will deteriorate BOP.
If, $ex + em = 1$; Devaluation will have no effect on BOP.
(ex & em - elasticity of export and import.)

*****END*****

